Cumulus Bank

Wealth management from Cumulus Bank

WEALTH MANAGEMENT · RETIREMENT

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PRODUCT BROCHURE · RETIREMENT

Cumulus 401(k) / 403(b) Rollover Services

Advisory support for consolidating an employer-plan balance following separation from service, retirement, or plan termination — including direct rollover, in-plan Roth conversion, and net unrealized appreciation analysis.

SERVICE TYPE	**Rollover advisory and execution**
ELIGIBLE SOURCE PLANS	**401(k), 403(b), 457(b), pension, SEP, SIMPLE**
DESTINATION	**Traditional IRA or Roth IRA at Cumulus**
2026 EMPLOYEE DEFERRAL LIMIT	**$23,500 (under 50)**
AGE 50+ CATCH-UP	**$7,500**
AGE 60–63 SUPER-CATCH-UP	**$11,250 (SECURE 2.0 §109)**
IN-PLAN ROTH CONVERSIONS	**Supported where plan permits**
NUA ANALYSIS	**Available for appreciated employer stock**

AT A GLANCE

Overview

Cumulus 401(k) / 403(b) Rollover Services is a coordinated advisory program for clients who are leaving an employer, retiring, or rationalizing an accumulated set of workplace plan accounts. Your Cumulus advisor will evaluate whether a rollover is appropriate relative to the alternatives — leaving the balance in the current plan, transferring to a new employer's plan, or taking a taxable distribution — and will document the analysis in accordance with applicable fiduciary standards.

Investment products are not FDIC insured, not bank guaranteed, and may lose value. Any recommendation to roll a workplace plan balance to an IRA will be made in your best interest consistent with the Department of Labor's fiduciary framework (PTE 2020-02) and Regulation Best Interest.

COMPARE BEFORE YOU DECIDE

Your four options at separation

LEAVE THE BALANCE IN YOUR FORMER EMPLOYER'S PLAN

Leave the balance in your former employer's plan

Continue tax-deferred growth under your prior plan's investment menu and fee structure. Administrative changes require working through the prior employer's plan sponsor.

ROLL OVER TO YOUR NEW EMPLOYER'S PLAN

Roll over to your new employer's plan

Consolidate with your new plan if the plan accepts rollovers. Access to the new plan's investment menu, any employer loan provisions, and ERISA creditor protection are retained.

ROLL OVER TO AN IRA AT CUMULUS

Roll over to an IRA at Cumulus

Access a broader investment menu, consolidate with other IRA balances, and establish a single investment policy. Your Cumulus advisor will document the rationale under PTE 2020-02.

TAKE A CASH DISTRIBUTION

Take a cash distribution

Receive the balance in cash. 20% mandatory federal withholding applies; the full distribution is taxed as ordinary income and, if under age 59½, may be subject to a 10% additional tax.

FOR CONTEXT

2026 employer-plan limits

LIMIT	AMOUNT	AUTHORITY / NOTES
Employee elective deferral — 401(k), 403(b), 457(b)	$23,500	IRC §402(g); updated annually for inflation.
Age 50+ catch-up contribution	$7,500	Roth catch-up mandatory for high earners under SECURE 2.0 §603.

LIMIT	AMOUNT	AUTHORITY / NOTES
Age 60–63 super-catch-up	$11,250	SECURE 2.0 §109; applies in the calendar year you are 60–63.
Total defined-contribution limit (employee + employer)	$70,000	IRC §415(c); $77,500 with age 50+ catch-up.
Compensation limit	$350,000	IRC §401(a)(17).
Highly compensated employee threshold	$160,000	IRC §414(q); look-back to prior year.

CHOOSE THE SAFER PATH

Direct vs indirect rollovers

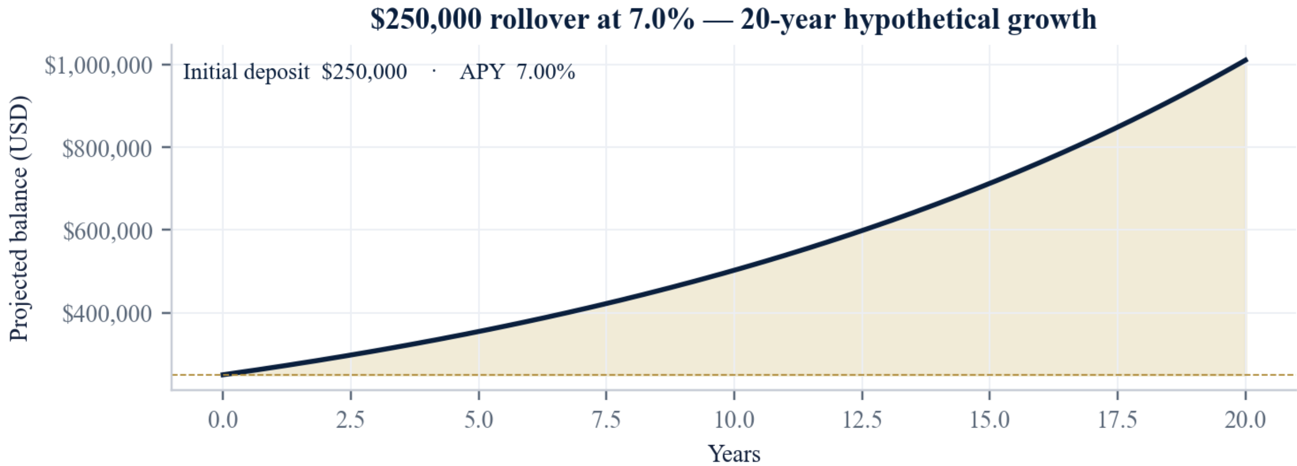
Whenever possible, execute a direct (trustee-to-trustee) rollover. Direct rollovers are not subject to the 20% mandatory federal withholding under IRC §3405(c), and they avoid the 60-day rollover rule entirely. Indirect rollovers — in which the plan issues a check to you — are more restrictive and more easily mishandled.

CHARACTERISTIC	DIRECT ROLLOVER (PREFERRED)	INDIRECT ROLLOVER
Check payable to	Cumulus Investment Services, LLC FBO client	The client individually
Federal withholding	None	20% mandatory under IRC §3405(c)
60-day deadline	Does not apply	Funds must be deposited in an eligible retirement account within 60 calendar days; failure is a taxable distribution
Frequency limit	Unlimited direct rollovers	One indirect IRA-to-IRA rollover per 12-month period (IRC §408(d)(3)(B))
Reporting	Form 1099-R code G (direct)	Form 1099-R code 1 or 7 plus Form 5498 rollover contribution

ILLUSTRATIVE GROWTH

The impact of consolidation

The chart below illustrates the hypothetical growth of a $250,000 rollover balance compounded at a 7.0% annualized return over a twenty-year horizon. Because tax-deferral continues to apply in a Traditional IRA (and tax-free treatment applies in a Roth IRA for qualified distributions), rolling rather than cashing out preserves decades of potential compounding.



APPRECIATED EMPLOYER STOCK

Net unrealized appreciation

If your employer plan includes shares of your employer's stock with substantial embedded appreciation, an alternative to a full rollover may be favorable. Under the net unrealized appreciation (NUA) provisions of IRC §402(e)(4), the participant may receive the employer stock in kind in a lump-sum distribution: the original cost basis is taxable as ordinary income at the time of distribution, and the appreciation is deferred until sale, at which point it is taxed at long-term capital-gains rates. NUA is a one-time, irrevocable election with specific triggering-event and timing requirements. Your Cumulus advisor will coordinate the analysis with your tax professional before the distribution is initiated.

STEP-BY-STEP

How a rollover is executed

STEP	WHAT HAPPENS	TYPICAL TIMING
1 · Review	Your Cumulus advisor compares the current plan's investment menu, fees, and features with an IRA; documents the recommendation under PTE 2020-02 and Regulation Best Interest.	1–2 meetings
2 · Open destination	Open the Cumulus Traditional IRA (pre-tax) and/or Roth IRA (Roth 401(k) source), naming beneficiaries.	Same day
3 · Initiate rollover	Contact the prior plan's recordkeeper; request a direct rollover payable to 'Cumulus Investment Services, LLC FBO client name', with the account number included.	Same day
4 · Settlement	Funds arrive by check or wire and are posted to the receiving IRA. In-kind transfers of eligible securities are posted to your account with the proceeds re-registered in your name.	5–15 business days
5 · Implementation	Your advisor invests the balance consistent with your written investment policy statement, balancing transaction costs and tax considerations.	10–30 days

COMMON QUESTIONS

Frequently asked questions

Will I owe tax on a rollover?

A direct rollover of pre-tax 401(k)/403(b) assets to a Traditional IRA is not a taxable event. A rollover of Roth 401(k) assets to a Roth IRA is not taxable. Rolling pre-tax assets to a Roth IRA is a conversion and is taxed as ordinary income in the year of conversion.

Should I consider an in-plan Roth conversion before rolling over?

Some plans permit in-plan Roth conversions, which allow pre-tax balances to be converted to a Roth subaccount while remaining in the plan. Your Cumulus advisor will review whether an in-plan conversion, a post-rollover conversion, or no conversion produces the best projected after-tax outcome given your tax bracket and time horizon.

Will I lose creditor protection by rolling over?

401(k) and 403(b) balances generally enjoy broad creditor protection under ERISA. Rollover IRAs typically retain federal bankruptcy protection; non-bankruptcy creditor protection varies by state. Discuss your specific jurisdiction with qualified legal counsel.

What is the Rule of 55 and can I still use it?

Under IRC §72(t)(2)(A)(v), a participant who separates from service in the year they turn 55 or later may take distributions from that employer's plan without the 10% early-withdrawal penalty. This exception is lost once the balance is rolled to an IRA. If you plan to rely on the Rule of 55, discuss with your advisor whether a partial rollover is appropriate.

Can I roll after-tax employer-plan contributions separately?

Yes. Under IRS Notice 2014-54, pre-tax and after-tax subaccounts may generally be rolled to a Traditional IRA and Roth IRA respectively in a single, simultaneous rollover, preserving the tax character of each. This is often called a 'split rollover.'

DISCLOSURES & REGULATORY NOTICES

Important disclosures

§ Investment products and advisory services are offered through Cumulus Investment Services, LLC, a registered broker-dealer (member FINRA / SIPC) and an SEC-registered investment adviser, and an affiliate of Cumulus Bank, N.A.

§ Securities and advisory products: NOT FDIC INSURED · NOT BANK GUARANTEED · MAY LOSE VALUE · NOT A DEPOSIT · NOT INSURED BY ANY FEDERAL GOVERNMENT AGENCY.

§ Asset allocation and diversification do not ensure a profit or protect against loss in a declining market. Past performance is not a guarantee of future results.

§ Before investing, carefully consider the investment objectives, risks, charges, and expenses. Request a prospectus or Form ADV Part 2A disclosure brochure from your Cumulus advisor and read it carefully before investing.

§ Rollover recommendations are made in accordance with Department of Labor Prohibited Transaction Exemption 2020-02 ('Improving Investment Advice for Workers and Retirees') and Regulation Best Interest. The rationale for any rollover recommendation will be documented in writing and furnished to the client.

§ Leaving your balance in an employer's plan, transferring to a new employer's plan, or rolling to an IRA each has benefits and drawbacks, including investment options, fees, services, creditor protection under ERISA, and required-minimum-distribution treatment. Discuss with your Cumulus advisor.

§ NUA, Rule of 55, and other statutory provisions have specific eligibility and timing requirements. Consult your tax professional before electing these treatments.

NEXT STEPS

Speak with a Cumulus wealth advisor

A Cumulus advisor will review your objectives, time horizon, and tax considerations; explain the products and services available to you; and deliver a written proposal. Requests received today are typically returned within one business day.

ADVISOR LINE	954.417.2880 Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET
ONLINE	cumulusbank-demo-bb054209d76d.herokuapp.com Apply online, review rates, or schedule an appointment.
PRIVATE OFFICE	Wealth Management offices are available by appointment. Request a meeting at cumulusbank-demo-bb054209d76d.herokuapp.com/wealth.